X. WAGES

Enacted in 1989, R.A. No. 6727, also known as the Wage Rationalization Act, transformed the approach to minimum wage determination.

It established the Regional Tripartite Wages and Productivity Boards (RTWPBs) in every region. These Boards have the power to determine and fix minimum wage rates per region, industry, and sector.

This regionalization of wage-fixing acknowledges disparities in the cost of living, economic conditions, and productivity levels across different parts of the country.

It provides that adjustments in minimum wage rates must be based on standards such as the needs of workers and their families, capacity of employers to pay, cost of living, and the requirements of economic and social development.

Tax Exemption for Minimum Wage Earners (Republic Act No. 9504)

1. R.A. No. 9504, which took effect in 2008, amended the National Internal Revenue Code to exempt minimum wage earners from payment of income tax.

2. This legislative measure is directly linked to minimum wage laws as it seeks to ensure that those earning at or near the legally mandated minimum wage enjoy the full benefit of their earnings without deduction of personal income tax.

Barangay Micro Business Enterprises (R.A. No. 9178)

1. The Barangay Micro Business Enterprises Act of 2002 encourages the formation and growth of small community- based businesses.

2. Qualified BMBEs may be exempted from the coverage of the minimum wage law, subject to conditions set forth by the Department of Labor and Employment (DOLE) and the Department of Trade and Industry (DTI).

3. Instead of minimum wage exemptions granting carte blanche to pay arbitrary amounts, employers under BMBE arrangements are still required to provide employees with a compensation package that does not violate other labor standards, and BMBE employees remain protected against abusive labor practices.

a. Basic Principles
   i. Wage defined; twin attributes

WAGE DEFINED; TWIN ATTRIBUTES.

- REMUNERATION OR EARNINGS, CAPABLE OF BEINS EXPRESSED IN TERMS OF MONEY. WHETHER FIXED OR ASCERTAINED ON A TIME, TASK, PIECE OR COMMISSION BASIS OR OTHER METHOD OF CALCULATING THE SAME
- PAYABLE BY AN EMPLOYER TO AN EMPLOYEE UNDER WRITTEN OR UNWRITTEN CONTRACT OF EMPLOYMENT FOR WORK DONE OR TO BE DONE OR FOR SERVICES RENDERED OR TO BE RENDERED AND INCLUDES THE FAIR AND REASONABLE VALUE
- 2 COMPONENT PARTS:

- CASH WAGE - TAKES THE FORM OF READY MONEY PAID BY ER FOR SERVICES RENDERED BY THE EE.
- FACILITIES - ARTICLES OR SERVICES CUSTOMARILY GIVEN FOR THE BENEFIT OF THE EE AND ARE VOLUNTARILY ACCEPTED BY HIM.

- NO WORK- NO PAY PRINCIPLE
- FAIR DAY'S WAGE FOR A FAIR DAY'S LABOR REMAINS AS THE BASIC FACTOR IN DETERMINING EMPLOYEES' WAGES AND BACK WAGES
- UNLESS EMPLOYEE WAS WILLING AND READY TO WORK BUT WAS ILLEGALLY LOCKED OUT OR SUSPENDED

ii. Wage versus salary; only for purposes of Article 1708 of the Civil Code

WAGE VERSUS SALARY; ONLY FOR PURPOSES OF ARTICLE 1708 OF THE CIVIL CODE;

- ART 1708 OF THE CIVIL CODE:
- THE LABORER'S WAGES SHALL NOT BE SUBJECT TO EXECUTION OR ATTACHMENT, EXCEPT FOR DEBTS INCURRED FOR FOOD, SHELTER, CLOTHING AND MEDICAL ATTENDANCE.
- FOR PURPOSES OF THIS ARTICLE:
  - WAGES - MANUAL LABOR, SKILLED OR UNSKILLED, PAID AT STATED TIMES AND MEASURED BY THE DAY, WEEK OR MONTH OR SEASON
- PAY FOR A LOWER AND LESS RESPONSIBLE CHARACTER OF EMPLOYMENT
- SALARY - HIGHER DEGREE OF EMPLOYMENT OR A SUPERIOR GRADE OF SERVICES AND IMPLIES A POSITION OF OFFICE
- SUGGESTIVE OF A LARGER AND MORE IMPORTANT SERVICE
- PURPOSE: TO FAVOR THOSE WHO ARE LABORING MEN OR WOMEN IN THE SENSE THAT THEIR WORK IS MANUAL
  - PERSONS BELONGING TO THIS CLASS USUALLY LOOK FORWARD TO THEIR REWARD OF A DAY'S LABOR FOR IMMEDIATE OR PRESENT SUPPORT AND SUCH PERSONS ARE MORE IN NEED OF EXEMPTION

iii. Facilities as part of wages; requirements for deduction

FACILITIES AS PART OF WAGES; REQUIREMENTS FOR DEDUCTION

- FACILITIES - ITEMS OF EXPENSE NECESSARY FOR THE LABORER'S AND HIS FAMILY'S EXISTENCE AND SUBSISTENCE SO THAT BY EXPRESS PROVISION OF LAW THEY FORM PART OF THE WAGE AND WHEN FURNISHED BY THE ER ARE DEDUCTIBLE THEREFROM
  - IF NOT FURNISHED, EMPLOYEE WOULD SPEND AND PAY FOR THEM JUST THE SAME
  - DO NOT INCLUDE PROFITS - FAIR AND REASONABLE VALUE
  - TO BE DEDUCTIBLE OR CHARGEABLE = NECESSARY THAT HE MUST RECEIVE THEM AND WRITTEN ACCEPTANCE AS VOLUNTARY
  - CHARGED AT FAIR AND REASONABLE VALUE

iv. Supplement not part of wages;

- SUPPLEMENTS - EXTRA REMUNERATION OR SPECIAL PRIVILEGES OR BENEFITS GIVEN TO OR RECEIVED BY THE LABORERS OVER AND ABOVE THEIR ORDINARY EARNINGS OR WAGES
- DISTINCTION IS AS TO ITS PURPOSE

- PURPOSE TEST: IF THE BENEFIT OR PRIVILEGE GRANTED TO THE EMPLOYEE IS CLEARLY FOR THE EMPLOYER'S CONVENIENCE
- VACATION LEAVE, OT PAY IN EXCESS OF THE LEGAL RATE, PROFIT SHARING BENEFITS, SICK PENSION, RETIREMENT AND DEATH BENEFITS, CHRISTMAS BONUS

v. Bonus

13TH MONTH PAY LAW

- PD 851 OF 13TH MONTH PAY LAW
- PRO RATA ACCORDING TO THE NUMBER OF MONTHS WITHIN A YEAR THAT THE EMPLOYEE HAS RENDERED SERVICE TO THE ER
- ALL EMPLOYERS ARE REQUIRED TO PAY THEIR RANK-AND-FILE EMPLOYEES THE 13TH MONTH PAY NOT LATER THAN DEC 24 OF EVERY YEAR
- SHOULD HAVE WORKED FOR AT LEAST 1 MONTH DURING A CALENDAR YEAR
- ALL RANK-AND FILES IRRESPECTIVE OF THE METHODS BY WHICH THEY ARE PAID
- 1/12 OF THE TOTAL SALARY OF AN EMPLOYEE WITHIN THE CALENDAR YEAR
- BASIC SALARY - INCLUDES ALL REMUNERATIONS OR EARNINGS PAID BY AN ER TO AN EE FOR SERVICES RENDERED, BUT DOES NOT INCLUDE ALLOWANCES AND MONETARY BENEFITS WHICH ARE NOT CONSIDERED EQUIVALENT OF UNUSED VACATION AND SICK LEAVE CREDITS, OT, PREMIUM, NIGHT DIFFERENTIAL AND HOLIDAY PAY.

✓ INCLUDES COLA
✓ COMMISSION DEPENDS ON THE CIRCUMSTANCES OF THE CASE OR CONDITIONS OF PAYMENT
✓ IF EARNED BY SALESMEN=FORM PART OF THEIR BASIC SALARY
✓ IF MEDICAL REP = PAID AS PRODUCTIVITY BONUSES
✓ DISMISSED EE ALSO ENTITLED TO THE PROPORTIONATE AMOUNT OF 13TH MONTH PAY
✓ EMPLOYERS NOT COVERED BY 13TH MONTH PAY LAW:
  - GOVERNMENT
  - EMPLOYERS ALREADY PAYING THEIR EMPLOYEE BONUS OR MORE IN A CALENDAR YEAR WHICH IS AN EQUIVALENT OF 13TH MONTH PAY
  - KASAMBAHAY LAW ALREADY REQUIRES PAYMENT OF 13TH MONTH PAY
  - THOSE PAID ON PURELY COMMISSION, BOUNDARY OR TASK BASIS
  - THOSE PAID A FIXED AMOUNT OF PERFORMING SPECIFIC WORK
  - SEAFARERS, MANAGERIAL EMPLOYEES

vi. When is bonus demandable obligation

WHEN IS BONUS DEMANDABLE OBLIGATION

- BONUS - NOT DEMANDABLE ONLY WHEN MADE PART OF WORKER'S COMPENSATION
- IT IS A VOLUNTARY UNDERTAKING AND ENTIRELY DEPENDENT ON THE FINANCIAL CAPABILITY OF THE ER. NOT DEMANDABLE AND ENFORCEABLE OBLIGATION OF ER
- EXCEPTIONS:
  - IF IT IS GIVEN WITHOUT ANY CONDITION - PART OF THE WAGE
  - IF GRANT IS MANDATED BY LAW
  - IF IT HAS RIPENED INTO A PRACTICE THROUGH THE PASSAGE OF A CONSIDERABLE LENGTH OF TIME AND HAS CONSEQUENTLY BECOME A

PART OF THE TERMS AND CONDITIONS OF EMPLOYMENT OR BY VIRTUE OF ITS LONG AND REGULAR CONCESSION = IF SUFFERED BUSINESS LOSSES-NOT OBLIGED TO PAY SUCH BENEFITS
- IF THE GRANT THEREOF IS THE RESULT OF AN AGREEMENT-CBA
- IF GIVEN ON ACCOUNT OF COMPANY POLICY OR PRACTICE

vii. Applicability

APPLICABILITY-DOES NOT APPLY TO:

- FARMERS
- DOMESTIC HELPERS
- PERSONS IN THE PERSONAL SERVICE OF ANOTHER
- HOMEWORKERS ENGAGED IN NEEDLEWORK
- WORKERS IN ESTABLISHMENTS DULY REGISTERED WITH THE NATIONAL COTTAGE INDUSTRIES AND DEVELOPMENT AUTHORITY
- WORKERS RECOMMENDED BY THE CDA AND UPON APPROVAL BY THE SOLE- ONLY FOR MAKING THE COOPERATIVE VIABLE AND UPON FINDING IN DULY REGISTERED COOPERATIVES

viii. Minimum Wage Rates; standards for wage rate determination

>PURPOSE: ER MAY BE TEMPTED TO ECONOMICALLY SQUEEZE OR EXPLOIT HIS WORKERS BY PAYING THEM LESS

>TO SET BARRIER BELOW WHICH WAGES MAY NOT FALL, IN ORDER TO DEVELOP COMPETITION ON A HIGH LEVEL OF EFFICIENCY RATHER THAN COMPETITION ON A LOW LEVEL OF WAGES

- BASIC WAGE = ALL REMUNERATIONS OR EARNING PAID BY AN ER FOR SERVICES RENDERED ON A NORMAL WORKING DAY/HOURS.
- STATUTORY MINIMUM WAGE = LOWEST WAGE RATE FIXED BY LAW THAN AN ER CAN PAY HIS WORKERS
- MONTHLY PAID EMPLOYEES = PAID EVERYDAY OF THE MONTH INCLUDING REST DAYS, SPECIAL DAYS AND REGULAR HOLIDAYS
- DAILY PAID EMPLOYEES = PAID ON THE DAYS THEY ACTUALLY WORKED
- THOSE ENTITLED TO MINIMUM WAGE:
  a. KASAMBAHAY
  b. THOSE PAID BY RESULTS UNDER THE LABOR CODE
  c. APPRENTICES, LEARNERS AND PERSONS WITH DISABILITY
  d. DOES NOT INCLUDE COLA, PROFIT SHARING, PREMIUMS

COVERAGE OF MINIMUM WAGE:

- EXEMPTION FROM MINIMUM WAGE:
  a. COTTAGE INDUSTRIES AND DEVELOPMENT
  b. WORKERS AND EMPLOYEES IN RETAIL/SERVICE
  c. ESTABLISHMENT REGULARLY EMPLOYING NOT MORE THAN 10 WORKERS
  d. EMPLOYEES OF BARANGAY MICRO BUSINESS ENTERPRISES
  e. HOMEWORKERS ENGAGED IN NEEDLEWORK
  f. WORKERS IN ESTABLISHMENTS DULY REGISTERED WITH THE NATIONAL AUTHORITY
  g. WORKERS IN DULY REGISTERED COOPERATIVES WHEN SO

RECOMMENDED BY THE CDA AND UPON APPROVAL BY THE SOLE-ONLY FOR MAKING THE COOPERATIVE VIABLE AND UPON FINDING

TWO-METHODS IN DETERMINING WAGES;

A. FLOOR WAGE METHOD = FIXING OF DETERMINATE AMOUNT THAT WOULD BE ADDED TO THE PREVAILING STATUTORY MINIMUM WAGE

B. SALARY-CEILING METHOD = INVOLVES A WAGE ADJUSTMENT APPLIED TO EES RECEIVING A CERTAIN DENOMINATED SALARY CEILING

WORKERS ALREADY BEING PAID MORE THAN THE EXISTING MINIMUM WAGE ARE ALSO GIVEN WAGE INCREASE

ix. Prohibition Against Elimination or Diminution

PROHIBITION AGAINST ELIMINATION OR DIMINUTION

- APPLICABLE ONLY IF THE GRANT OR BENEFITS IS FOUNDED ON AN EXPRESS POLICY OR HAS RIPENED INTO A PRACTICE OVER A LONG PERIOD OF TIME WHICH IS CONSISTENT AND DELIBERATE.
- A COMPANY PRACTICE FAVORABLE TO THE EMPLOYEES THAT HAS BEEN CLEARLY ESTABLISHED
- PAYMENTS MADE PURSUANT TO IT HAVE BEEN RIPENED INTO BENEFITS ENJOYED BY EMPLOYEES
- PURPOSE: TO PROHIBIT EMPLOYERS FROM REDUCING BENEFITS ALREADY ENJOYED BY EMPLOYEES

HOW MANY YEARS TO RIPEN INTO A BENEFIT?

- FOR AS LONG AS THE BENEFIT CAN BE CHARACTERIZED BY REGULARITY, VOLUNTARY AND DELIBERATE INTENT OF THE ER TO THE GRANT OVER A SIGNIFICANT PERIOD OF TIME

REQUISITES OF DIMINUTION OF BENEFITS:

> THE GRANT OR BENEFIT IS FOUNDED ON A POLICY OR HAS RIPENED INTO A PRACTICE OVER A LONG PERIOD OF TIME
>THE PRACTICE IS CONSISTENT AND DELIBERATE
>THE PRACTICE IS NOT DUE TO ERROR IN THE CONSTRUCTION OR APPLICATION OF A DOUBTFUL OR DIFFICULT QUESTION OF LAW
>THE DIMINUTION OR DISCONTINUANCE IS DONE UNILATERALLY BY THE ER

x. Payment of Wages

FORM OF PAYMENT

- LEGAL TENDER = CURRENCY SUFFICIENT UNDER THE LAW TO EFFECT PAYMENT OF A DEBT OR OBLIGATION
- CHECK IS NOT LEGAL TENDER
- NO WORK-NO PAY
- PAYMENT THROUGH ATM ARE OK PROVIDED:
    a. ATM SYSTEM IS WITH WRITTEN CONSENT OF EMPLOYEE
    b. EMPLOYEES ARE GIVEN REASONABLE TIME TO WITHDRAW THEIR WAGES FROM THE BANK FACILITY
    c. THERE IS BANK OR ATM FACILITY WITHIN A RADIUS OF 1 KM FROM THE WORKPLACE
    d. ER SHALL ISSUE A RECORD EVIDENCING PAYMENT OF WAGES

- At Least Twice a Month: Under Article 103 of the Labor Code and its IRR, wages must be paid at least once every two (2) weeks or twice a month at intervals not exceeding sixteen (16) days. More frequent payment is allowed, but the employer may not lengthen the interval beyond what the law prescribes. Regular Pay Days: Employers must inform employees of their designated pay days. This ensures predictability and reduces disputes over delayed payment.

- Wages must be paid not later than the agreed payday. Delay or postponement without justifiable reason is prohibited. Overtime pay, night shift differentials, holiday pays, and premium pays for special days should be settled within the pay period following the one when such work was rendered.

- PAYMENT BY CHECK- ALLOWED IF STIPULATED

- BANK REQUIREMENTS ARE MET

- TIME OF PAYMENT

- PLACE OF PAYMENT

    a. GR: NEAR OR AT THE PLACE OF UNDERTAKING
    b. DISTANCE OF 1 KM FROM THE WORK PLACE
    c. INSTANCES WHEN PAYMENT MAY BE MADE AT ANOTHER PLACE: WAR, EMERGENCIES EMPLOYER PROVIDES FREE TRANSPO -BACK AND FORTH ETC PAYMENT IN RECREATIONAL AREAS = PROHIBITED

- DIRECT PAYMENT OF WAGES
    a. MADE DIRECTLY TO THE WORKER
    b. CONFLICTING CLAIMANTS:
    c. INTERPLEADER
    d. PAYMENT THROUGH CONTRACTOR ALLOWED

Wage Distortion occurs when mandated wage increases lead to the elimination or severe contraction (more than 50%) of the intended pay gaps between employee groups in an establishment.

For illustration, consider an Accounting Assistant earning P 600 per day. With the recent minimum wage increase, the wage gap between the minimum wage earner and the Accounting Assistant decreased by 70%.
Using the Pineda-Cruz-So Formula, the adjusted wage of the affected employee becomes P 634.02 per day.



xi. Solidary Liability – Depart Order No. 19 and DO No. 174-17, Series of 2017

Section 9. Solidary Liability. In the event of violation of any provision of the Labor Code, including the failure to pay wages, there exists a solidary liability on the part of the principal and the contractor for purposes of enforcing the provisions of the Labor Code and other social legislations, to the extent of the work performed under the employment contract.

Cases:

1. *Cosue v. Ferritz Integrated Dev't. Corp., G.R No. 230664, July 24, 2017*
2. *Wesleyan University Phils v. Wesleyan University-Philippines Faculty and Staff Association, G.R No. 181806, March 12, 2014*
3. *International School Alliance of Educators v. Quisumbing, G.R. No. 128845, June 1, 2000*
4. *Wilfredo Mariano v. G.V. Florida, et al., GR No. 240882 SEPTEMBER 16, 2020*
5. *PAL v. Ahmee, et al., GR Nos. 221065 and 221164, 7 April 2025*

Case	Felipe O. Cosue, Jr. v. Ferritz Integrated Development Corporation and Antonio Longa G.R. No. 230664, July 24, 2017 Second Division, Peralta, J.
Facts	Felipe O. Cosue, Jr. was employed as Janitor/Maintenance personnel by Ferritz Integrated Development Corporation (Ferritz) starting in March 2004. In October 2014, Cosue filed a complaint against Ferritz and its President, Antonio Longa, claiming constructive illegal dismissal, underpayment of basic wages (minimum wage differentials), non-payment of overtime pay, holiday pay, premium pay for holiday and rest day, service incentive leave (SIL), and 13th-month pay. He presented a Certification issued by the HR officer indicating he worked 12 hours a day (from 7:00 AM to 7:00 PM) six days a week. Respondents denied liability, arguing that Cosue abandoned his job and that all statutory benefits were fully paid, offering computer-generated payslips and summary payrolls as proof. The Labor Arbiter dismissed the constructive dismissal claim but awarded wage differentials, overtime pay, and other monetary benefits. The CA deleted the awards for overtime, holiday, and rest day premiums, holding that Cosue failed to substantiate actual work performed on those

	days.
Issue	Whether petitioner Cosue is entitled to the payment of wage differentials, overtime pay, premium pay for holidays and rest days, and other statutory monetary benefits.
Held	**Petitioner is entitled to minimum wage differentials, SIL, and 13th-month pay, but NOT to overtime pay and premium pay for holidays/rest days without concrete proof of work performed on those specific days.** **Verbatim Legal Basis:** **Article 87, Labor Code of the Philippines:** "Art. 87. Overtime work. — Work may be performed beyond eight (8) hours a day provided that the employee is paid for the overtime work, an additional compensation equivalent to his regular wage plus at least twenty-five percent (25%) thereof. Work performed beyond eight hours on a holiday or rest day shall be paid an additional compensation equivalent to the rate of the first eight hours on a holiday or rest day plus at least thirty percent (30%) thereof." **Article 95, Labor Code of the Philippines:** "Art. 95. Right to service incentive leave. — (a) Every employee who has rendered at least one year of service shall be entitled to a yearly service incentive leave of five days with pay."
Ratio	1. **Burden of Proof in Monetary Claims:** In claims for basic minimum wage differentials, SIL, and 13th-month pay, the burden of proof rests on the employer to prove payment, as the pertinent records (payrolls, vouchers, ledgers) are in the employer's custody. Respondents failed to produce signed payroll sheets or valid proofs of full payment compliant with the applicable Wage Orders. 2. **Proof Required for Overtime and Premium Pay:** In contrast, for overtime pay, premium pay for holidays, and rest day premiums, the burden of proof shifts to the employee to establish by substantial evidence that he actually rendered work in excess of eight hours or during prescribed rest days and regular holidays. A general employment certification stating daily scheduled hours is insufficient without specific time cards, logs, or trip tickets showing actual overtime hours performed.
Fallo	**WHEREFORE**, the petition for review on certiorari is **PARTIALLY GRANTED**. The Decision dated September 14, 2016 and the Resolution dated March 1, 2017 of the Court of Appeals in CA-G.R. SP No. 143586 are hereby **AFFIRMED with MODIFICATION** in that respondents Ferritz Integrated Development Corporation and Antonio Longa are ordered to pay petitioner Felipe O. Cosue, Jr. his wage differentials, service incentive leave pay, and 13th month pay, plus legal interest of six percent (6%) per annum from the date of finality of this Decision until fully paid. **SO ORDERED.**

Case	Wesleyan University-Philippines v. Wesleyan University-Philippines Faculty and Staff

	Association (WUPFSA) G.R. No. 181806, March 12, 2014 Third Division, Mendoza, J.
Facts	Petitioner Wesleyan University-Philippines and respondent WUPFSA executed a Collective Bargaining Agreement (CBA) effective from 2003 to 2008 providing for vacation leave (VL) and sick leave (SL) benefits, including the monetization of unused leave credits. During the implementation of the CBA, the University President issued a Memorandum unilaterally declaring that: (1) vacation and sick leaves could only be monetized if the employee had exhausted all leaves; and (2) vacation leave credits could no longer be carried over or accumulated to succeeding years. The Union opposed the guidelines, arguing they violated the CBA and the principle of non-diminution of benefits under Article 100 of the Labor Code, noting that the university had consistently permitted unconditional encashment and carry-over of leave credits since 1990. The Voluntary Arbitrator ruled in favor of the Union, and the Court of Appeals affirmed.
Issue	Whether the unilateral change in the policy on leave encashment and carry-over violates the non-diminution rule under Article 100 of the Labor Code and the existing CBA.
Held	**The unilateral modification of the leave monetization policy violates both the CBA and the principle of non-diminution of benefits under Article 100 of the Labor Code.** **Verbatim Legal Basis:** **Article 100, Labor Code of the Philippines:** "Art. 100. Prohibition against elimination or diminution of benefits. — Nothing in this Book shall be construed to eliminate or in any way diminish supplements, or other employee benefits being enjoyed at the time of promulgation of this Code."
Ratio	1. **Non-Diminution of Benefits Doctrine:** The principle of non-diminution of benefits bars an employer from unilaterally withdrawing or reducing benefits already enjoyed by employees. For the rule to apply, it must be shown that: (a) the grant of the benefit is founded on a policy or has ripened into a practice over a long period; (b) the practice is consistent and deliberate; (c) the practice is not due to error in the construction or application of a doubtful or difficult question of law; and (d) the diminution or discontinuance is done unilaterally by the employer. 2. **Sanctity of the CBA:** The CBA is the law between the contracting parties. Since the CBA did not place any condition or restriction on the encashment or accumulation of earned leave credits, the university cannot unilaterally add qualifying requisites that diminish the value of the bargained benefit.
Fallo	**WHEREFORE**, the petition is **DENIED**. The November 20, 2007 Decision and the January 29, 2008 Resolution of the Court of Appeals in CA-G.R. SP No. 98115 are **AFFIRMED**. **SO ORDERED.**

Case	International School Alliance of Educators (ISAE) v. Hon. Leonardo A. Quisumbing, in his capacity as the Secretary of Labor and Employment; Norberto Quisumbing, Jr.; and

	International School, Inc. G.R. No. 128845, June 1, 2000 First Division, Puno, J.
Facts	Private respondent International School, Inc. (the School) hired both foreign and local teachers. It categorized them into two groups: (1) foreign-hires and (2) local-hires. The School granted foreign-hires higher salaries (an approximate 25% salary differential over local hires), along with housing, transportation, travel allowances, and other fringe benefits. The School reasoned that foreign-hires had to be lured from abroad, faced dislocation costs, and maintained living standards consistent with their countries of origin. Respondent union (ISAE), acting on behalf of the local-hires, demanded equal pay for equal work during CBA negotiations. When negotiations deadlocked, the Secretary of Labor assumed jurisdiction under Article 263(g) [now renumbered] of the Labor Code and ruled that the salary distinction between foreign-hires and local-hires was valid and based on reasonable classifications.
Issue	Whether the salary distinction between foreign-hires and local-hires performing identical teaching services violates the constitutional guarantee of equal protection and the labor principle of "equal pay for equal work."
Held	**The salary differential violates the principle of "equal pay for equal work" and infringes upon public policy and equal protection.** **Verbatim Legal Basis:** **Article XIII, Section 3, 1987 Philippine Constitution:** "The State shall afford full protection to labor, local and overseas, organized and unorganized, and promote full employment and equality of employment opportunities for all. It shall guarantee the rights of all workers to self-organization, collective bargaining and negotiations, and peaceful concerted activities, including the right to strike in accordance with law. They shall be entitled to security of tenure, humane conditions of work, and a living wage." **Article 248 [now renumbered Article 259] (e), Labor Code of the Philippines:** "Art. 248. Unfair labor practices of employers. — It shall be unlawful for an employer to commit any of the following unfair labor practices: ... (e) To discriminate in regard to wages, hours of work and other terms and conditions of employment in order to encourage or discourage membership in any labor organization..."
Ratio	1. **Principle of Equal Pay for Equal Work:** Employees who perform substantially equal work, requiring equal skill, effort, and responsibility under similar working conditions, must receive equal remuneration. Classification must rest on substantial distinctions; when local-hires and foreign-hires perform the exact same academic load, teach the same subjects, and share identical duties, granting foreign-hires 25% higher basic compensation violates equal protection and the constitutionally protected dignity of domestic labor. 2. **Distinction Between Base Salary and Dislocation Benefits:** While the School may validly offer housing allowances, repatriation expenses, or relocation stipends to offset the foreign-hires' dislocation costs, it cannot inject discrimination directly into the basic salary rate for identical teaching work.
Fallo	**WHEREFORE**, the petition is **GRANTED IN PART**. The orders of the Secretary of Labor and Employment dated June 10, 1996 and December 27, 1996 in OS-AJ-0019-96 are **ANNULLED**

	and SET ASIDE. The School is ordered to grant local-hires the same salary rate given to foreign-hires of equal qualifications performing identical work. **SO ORDERED.**

Case	**Wilfredo Mariano v. G.V. Florida Transport, Inc. and or Virgilio Florida** G.R. No. 240882, September 16, 2020 First Division, Caguioa, J.
Facts	Wilfredo Mariano was employed by G.V. Florida Transport, Inc. as a public utility bus driver from 2006 to 2014. He was paid pure commission on a "per-trip" basis, amounting to 10% to 12% of the gross ticket sales per round trip. Following a vehicular accident involving another unit of the company, the LTFRB suspended the entire franchise of the bus company for six months. When operations resumed, Mariano reported for work but was told there were no buses available for him. Mariano filed a complaint for illegal dismissal and non-payment of statutory money benefits, including holiday pay, service incentive leave (SIL), and 13th-month pay. The company argued that bus drivers paid on commission are piece-rate or task-based workers excluded from statutory holiday pay, SIL, and 13th-month pay under the Labor Code and P.D. No. 851.
Issues	1. Whether bus drivers paid purely on a commission basis are entitled to holiday pay and Service Incentive Leave (SIL). 2. Whether bus drivers paid on commission are entitled to 13th-month pay under Presidential Decree No. 851.
Held	**Bus drivers paid on commission are ENTITLED to Holiday Pay and SIL, but EXCLUDED from the benefits of 13th-month pay under P.D. No. 851.** **Verbatim Legal Basis:** **Article 94, Labor Code of the Philippines:** "Art. 94. Right to holiday pay. — (a) Every worker shall be paid his regular daily wage during regular holidays, except in retail and service establishments regularly employing less than ten (10) workers." **Section 3(e), Rules and Regulations Implementing Presidential Decree No. 851:** "Sec. 3. Employers covered. — The Decree shall apply to all employers except to: ... (e) Employers of those who are paid on purely commission, boundary, or task basis, and those who are paid a fixed amount for performing a specific work, irrespective of the time consumed in the performance thereof..."
Ratio	1. **Entitlement to Holiday Pay and SIL:** Field personnel (those who perform duties away from the principal office and whose actual hours of work cannot be determined with reasonable certainty) are excluded from holiday pay (Art. 94) and SIL (Art. 95). However, public utility bus drivers are subjected to fixed routes, scheduled arrival/departure times, and continuous company monitoring; hence, they are not field personnel. Being non-field personnel, the mere fact that their wages are computed on a commission or piece-rate basis

	does not strip them of statutory holiday pay and SIL. 2. **Exclusion from 13th-Month Pay:** Presidential Decree No. 851 and its Implementing Rules explicitly exempt employers from paying 13th-month pay to workers who are paid on a purely commission or task basis. Because Mariano was compensated exclusively through trip commission without any guaranteed fixed basic wage component, he falls squarely within the statutory exemption under Section 3(e) of the IRR of P.D. No. 851.
Fallo	**WHEREFORE**, the petition is **PARTLY GRANTED**. The Decision dated February 28, 2018 and Resolution dated July 13, 2018 of the Court of Appeals in CA-G.R. SP No. 143588 are **AFFIRMED with MODIFICATION**. Respondents G.V. Florida Transport, Inc. and Virgilio Florida are **ORDERED to PAY** petitioner Wilfredo Mariano holiday pay and service incentive leave pay, plus legal interest of six percent (6%) per annum from the date of finality of this Decision until full satisfaction. **SO ORDERED.**

Case	Philippine Airlines, Inc. v. Bernard Ahmee, et al. Bernard Ahmee, et al. v. Philippine Airlines, Inc. G.R. Nos. 221065 & 221164, April 07, 2025 Third Division
Facts	Private respondent flight attendants were hired by Philippine Airlines (PAL) under collective agreements providing specific wage scales, salary step increments, and flying time duty pay. During PAL's corporate rehabilitation following severe financial distress, PAL implemented modified wage schedules, altered seniority ladders, and reduced allowances. After PAL emerged from rehabilitation, respondents claimed unpaid wage differentials, arguing that the adjustments in base rates and monthly flying hourly computation during the rehabilitation period constituted unlawful diminution of compensation and an evasion of agreed salary brackets. PAL contended that all salary policies and austerity arrangements were vetted, approved, and integrated under the Rehabilitation Plan sanctioned by the SEC and the rehabilitation court, extinguishing retroactive claims for wage adjustments.
Issue	Whether the wage and allowance modifications implemented pursuant to a court-approved corporate rehabilitation plan constitute an illegal diminution of wages under Article 100 of the Labor Code.
Held	**The wage modifications instituted strictly in implementation of the court-approved rehabilitation plan do NOT violate the prohibition against diminution of benefits under Article 100.** **Verbatim Legal Basis:** **Article 100, Labor Code of the Philippines:** "Art. 100. Prohibition against elimination or diminution of benefits. — Nothing in this Book shall be construed to eliminate or in any way diminish supplements, or other employee benefits being enjoyed at the time of promulgation of this Code."
Ratio	1. **Primacy of Rehabilitation Plans:** When an enterprise is placed under corporate

	rehabilitation, the suspension of payments and the enforcement of the rehabilitation scheme supersede individual contractual claims to safeguard corporate survival and preserve overall employment. Modifications in compensation structures sanctioned by the rehabilitation court are legal measures dictated by emergency conditions, not arbitrary employer diminutions. 2. **Requisites of Unlawful Diminution Absent:** To invoke Article 100, the benefit must be shown to have been granted voluntarily and routinely, and diminished unilaterally by the employer without legal or valid contractual justification. Since the altered rates were founded on the collective rehabilitation agreement and endorsed by judicial authority to prevent liquidation, the element of unilateral, bad-faith reduction is absent.
Fallo	**WHEREFORE**, the Petition of Philippine Airlines, Inc. is **GRANTED**. The claim for salary step-increment differentials and alleged diminished duty pay is **DENIED**. The Decision of the Court of Appeals is **REVERSED and SET ASIDE**, and the complaint is **DISMISSED**. **SO ORDERED.**

xii. Statutory Monetary Benefits of Workers

b. Worker's Preference in case of bankruptcy
   xiii. Art. 110 (PD 442) versus Civil Code
   xiv. Inapplicability of Art. 110 in Extrajudicial Proceedings
   xv. Attorney's Fees

Cases:

1. *PNB v. Cruz, 180 SCRA 206*
2. *DBP v. NLRC, 218 SCRA 183*
3. *Republic v. Peralta, 150 SCRA 37*
4. *Banco Filipino Savings and Mortgage Bank v. BSP, G.R. No. 200678, June 4, 2018*
5. *Allied Banking Corporation, In the Matter of the Petition to have Steel Corporation of the Philippines Placed under Corporate Rehabilitation, G.R. No. 191939, March 14, 2018*

Case	Philippine National Bank v. Honorable Domingo Sanchez, National Labor Relations Commission, and Segundino Cruz, et al. G.R. No. 79974, December 18, 1989 (180 SCRA 206) First Division, Cruz, J.
Facts	Segundino Cruz and other employees of Aggregate Products Corporation (APC) filed complaints for unpaid wages and separation pay against APC before the NLRC. The Labor Arbiter rendered judgment in favor of the workers. To enforce the judgment, the NLRC Sheriff levied on several parcels of land and heavy machinery owned by APC. However, Philippine National Bank (PNB) intervened, claiming that the levied properties had already been extrajudicially foreclosed by PNB as the principal mortgagee of APC's assets. PNB asserted that its recorded mortgage lien enjoyed absolute priority over the workers' unsecured money claims pursuant to the Civil Code provisions on concurrence and

	preference of credits. The NLRC ruled that under Article 110 of the Labor Code, workers' claims for unpaid wages enjoy first preference over all other debts, including recorded mortgage liens.
Issue	Whether the worker's preference under Article 110 of the Labor Code prevails over a prior registered mortgage of a creditor bank without the necessity of formal bankruptcy or insolvency proceedings.
Held	**The worker's preference under Article 110 of the Labor Code CANNOT be invoked outside a formal bankruptcy or judicial liquidation proceeding.** ***Verbatim Legal Basis:*** **Article 110, Labor Code of the Philippines:** *"Art. 110. Worker preference in case of bankruptcy. — In the event of bankruptcy or liquidation of an employer's business, his workers shall enjoy first preference as regards their wages and other monetary claims, any provisions of law to the contrary notwithstanding. Such claims shall be paid in full before claims of the government and other creditors may be paid, but after mortgage credits and other liens with respect to specific property are satisfied in accordance with the Civil Code."*
Ratio	1. **Necessity of Bankruptcy/Insolvency Proceedings:** Article 110 of the Labor Code establishes a preference of credits in favor of workers' wages, but this preference does not constitute a lien on the specific property of the employer. It can only be asserted within the framework of a formal, collective proceeding—such as insolvency, bankruptcy, or judicial liquidation—where all creditors are convened and their respective priorities determined under the Civil Code system of concurrence and preference of credits. 2. **Subordination to Mortgage Creditors:** Even within insolvency proceedings, the worker's preference applies to the remaining free estate of the debtor after specially preferred mortgage liens attaching directly to specific real properties under the Civil Code have been completely satisfied. Article 110 cannot authorize an NLRC sheriff to unilaterally seize mortgaged property outside liquidation.
Fallo	**WHEREFORE**, the petition is **GRANTED**. The questioned resolution of the NLRC directing the sale on execution of the properties claimed by petitioner PNB is **SET ASIDE**, without prejudice to the right of private respondents to enforce their claims in appropriate liquidation proceedings.

Case	**Development Bank of the Philippines v. National Labor Relations Commission, Leonor A. Ang, et al.** G.R. Nos. 100263 & 100378, January 29, 1993 (218 SCRA 183) Second Division, Regalado, *J.*

Facts	Republic Telephone Company (RETELCO) incurred substantial loan liabilities with the Development Bank of the Philippines (DBP), secured by mortgages over its assets. Due to payment default, DBP extrajudicially foreclosed the mortgages and acquired RETELCO's assets as the highest bidder. Concurrently, retrenched employees of RETELCO led by Leonor Ang secured a favorable NLRC judgment awarding them separation pay and wage benefits. The Labor Arbiter issued a writ of garnishment against the proceeds of the foreclosure sale held by DBP, invoking the amended text of Article 110 of the Labor Code (as amended by R.A. No. 6715), which declared that workers' monetary claims enjoy first preference *"any provisions of law to the contrary notwithstanding."* DBP protested, contending that R.A. No. 6715 did not upgrade Article 110 into an absolute automatic lien superseding mortgagees.
Issue	Whether the amendment introduced by Republic Act No. 6715 to Article 110 of the Labor Code upgraded workers' preference to an automatic lien that takes absolute precedence over previously recorded mortgage credits outside formal insolvency proceedings.
Held	**R.A. No. 6715 did NOT alter the fundamental rule: Article 110 remains a preference and NOT a special mortgage lien, and can only be enforced in formal bankruptcy or liquidation proceedings.** ***Verbatim Legal Basis:*** **Article 110, Labor Code of the Philippines (as amended by R.A. No. 6715):** *"Art. 110. Worker preference in case of bankruptcy. — In the event of bankruptcy or liquidation of an employer's business, his workers shall enjoy first preference as regards their wages and other monetary claims, any provisions of law to the contrary notwithstanding. Such claims shall be paid in full before claims of the government and other creditors may be paid, but after mortgage credits and other liens with respect to specific property are satisfied in accordance with the Civil Code."*
Ratio	1. **Preference vs. Lien:** A *lien* creates an immediate *in rem* encumbrance on specific property regardless of whose hands it falls into, whereas a *preference* is merely a statutory rule of distributive priority over the general estate of an insolvent debtor. Article 110 does not create a lien; it establishes a priority claim that only activates when a debtor's total assets are being collectively gathered, audited, and liquidated in court. 2. **Harmonization with Civil Code:** R.A. No. 6715 expanded the coverage of Article 110 from "unpaid wages" to "wages and other monetary claims," but did not eliminate the requirement of a formal insolvency or bankruptcy proceeding. Therefore, mortgage creditors who foreclose outside bankruptcy retain title ahead of ordinary labor claims.
Fallo	**WHEREFORE**, the petition is **GRANTED**. The assailed decision of the NLRC and the writ of execution issued by the Labor Arbiter are **ANNULLED and SET ASIDE**.

	SO ORDERED.

Case	Republic of the Philippines v. Honorable Judge Elviro L. Peralta, Quality Container Corporation, et al. G.R. No. L-56595, April 8, 1987 (150 SCRA 37) En Banc, Feliciano, *J.*
Facts	Quality Container Corporation was placed under involuntary insolvency proceedings in the Court of First Instance of Manila. Three major competing claims were asserted against its liquid estate: (1) workers claiming unpaid wages under Article 110 of the Labor Code; (2) the Bureau of Internal Revenue (Republic) claiming unpaid corporate income taxes and withholding taxes; and (3) the Bureau of Customs claiming customs duties and sales taxes. The trial judge ordered that the claims of the laborers for unpaid wages be paid first in full pursuant to Article 110, ahead of the tax claims of the government. The Republic appealed, asserting that taxes enjoy absolute priority under the Civil Code and the Tax Code.
Issue	What is the statutory order of priority among workers' wage claims under Article 110 of the Labor Code, government tax claims, and preferred mortgage credits within a formal judicial insolvency proceeding?
Held	**In formal insolvency, Article 110 operates to elevate workers' claims over general unsecured claims and non-specific government claims, but NOT over taxes that constitute a direct lien on specific property or mortgage liens under the Civil Code.** ***Verbatim Legal Basis:*** **Article 2241 & Article 2242, Civil Code of the Philippines:** *"Art. 2241. With reference to specific movable property of the debtor, the following claims or liens shall be preferred: (1) Duties, taxes and fees due thereon to the State or any subdivision thereof... (4) Claims of laborers for wages, on the goods manufactured or the work done..."* **Article 2244, Civil Code of the Philippines:** *"Art. 2244. With reference to other property, real and personal, of the debtor, the following claims or credits shall be preferred in the order named: ... (2) Claims for regular wages and salaries of laborers or employees for one year to date of insolvency..."*

Ratio	1. **Hierarchical System of Concurrence and Preference:** Under Articles 2241, 2242, and 2243 of the Civil Code, claims that attach directly to *specific* movable or immovable property (such as real property taxes, duties on imported goods, or recorded mortgages) must be satisfied first from the proceeds of that specific property. 2. **Operation of Article 110 on the Free Estate:** Article 110 alters the ranking of *general* preferred claims under Article 2244. With respect to the remaining general estate (assets not subject to specific property liens), the workers' claims for wages and monetary benefits are moved ahead of the general claims of the Republic for unpaid internal revenue taxes.
Fallo	**WHEREFORE**, the Decision of respondent trial court is **MODIFIED**. The claims against the insolvent Quality Container Corporation shall be satisfied in the following order: (1) Specific tax liens on specific goods under Articles 2241(1) and 2242(1); (2) Labor claims for wages directly earned in producing or manufacturing specific goods under Article 2241(4); (3) Workers' wage claims on the general, unencumbered estate pursuant to Article 110 of the Labor Code; and (4) The general tax claims of the Republic under Article 2244(9) of the Civil Code. **SO ORDERED.**

Case	Banco Filipino Savings and Mortgage Bank v. Bangko Sentral ng Pilipinas and Monetary Board G.R. No. 200678, June 4, 2018 Third Division, Leonen, *J.*
Facts	On March 17, 2011, the Monetary Board of the Bangko Sentral ng Pilipinas (BSP) issued Resolution No. 372-A placing Banco Filipino Savings and Mortgage Bank under receivership and directing the Philippine Deposit Insurance Corporation (PDIC) to proceed with liquidation pursuant to Section 30 of Republic Act No. 7653 (New Central Bank Act). Banco Filipino filed petitions for certiorari assailing the closure, arguing among other things that closure violated the rights of its employees to security of tenure and prejudiced their preferred claims over the bank's assets under Article 110 of the Labor Code. The Court of Appeals sustained the validity of the BSP resolution, finding that the closure was based on established insolvency and illiquidity.
Issue	Whether the administrative closure and liquidation of an insolvent banking institution by the Monetary Board can be prevented or invalidated by the statutory preference of employees' wage claims under Article 110 of the Labor Code.
Held	**The administrative closure and liquidation of a bank under the New Central Bank Act is valid and cannot be enjoined by the worker preference rule of Article 110.** ***Verbatim Legal Basis:***

	Section 30, Republic Act No. 7653 (The New Central Bank Act): *"Sec. 30. Proceedings in Receivership and Liquidation. — Whenever, upon report of the head of the supervising or examining department, the Monetary Board finds that a bank or quasi-bank: (a) is unable to pay its liabilities as they become due in the ordinary course of business... (b) has insufficient realizable assets to meet its liabilities; or (c) cannot continue in business without involving probable losses to its depositors or creditors... the Monetary Board may summarily and without need for prior hearing forbid the institution from doing business in the Philippines and designate the Philippine Deposit Insurance Corporation as receiver."*
Ratio	1. **Special Nature of Bank Liquidation:** Bank closures under Section 30 of R.A. No. 7653 are police power measures designed to protect depositors, the banking public, and the financial system. Under the "close now, hear later" doctrine, the Monetary Board's actions are summary and distinct from ordinary civil bankruptcies. 2. **Proper Forum for Wage Claims:** Article 110 of the Labor Code applies precisely *during* liquidation, not as a ground to prohibit or forestall liquidation. Bank employees asserting unpaid wages, separation pay, and retirement benefits must file their claims with the designated liquidator (PDIC) or the liquidation court, where their claims will be ranked against the bank's assets in accordance with applicable rules on concurrence and preference.
Fallo	**WHEREFORE**, the Petition is **DENIED**. The Court of Appeals Resolutions dated October 14, 2011 and February 14, 2012 in CA-G.R. SP No. 118596 are **AFFIRMED**. **SO ORDERED.**

Case	Allied Banking Corporation, In the Matter of the Petition to Have Steel Corporation of the Philippines Placed under Corporate Rehabilitation v. Steel Corporation of the Philippines G.R. No. 191939, March 14, 2018 Second Division, Reyes, Jr., *J.*
Facts	Steel Corporation of the Philippines (SCP) defaulted on its massive syndicated loan obligations, prompting creditor banks—including Allied Banking Corporation—to petition the RTC for involuntary corporate rehabilitation under the Interim Rules of Procedure on Corporate Rehabilitation. The rehabilitation court issued a Stay Order suspending all claims against SCP. Subsequently, various groups, including suppliers and contracted personnel asserting labor claims, sought exemptions from the Stay Order, arguing that wage benefits and operational obligations enjoy special preference under Article 110 of the Labor Code and should be disbursed immediately outside the rehabilitation framework. The creditor bank opposed exemptions that favored selected claims outside the court-approved payment schedules.

Issue	Whether the preference of credit for labor claims under Article 110 of the Labor Code allows employees to enforce their monetary claims outside a corporate rehabilitation proceeding in violation of a judicial Stay Order.
Held	**Labor claims cannot be enforced independently or outside the corporate rehabilitation proceeding while a Stay Order is in effect.** ***Verbatim Legal Basis:*** **Section 6(c), Rule 3, Interim Rules of Procedure on Corporate Rehabilitation:** *"The stay order shall: ... stay the enforcement of all claims, whether for money or otherwise and whether such enforcement is by court action or otherwise, against the debtor, its guarantors and persons not solidarily liable with the debtor..."* *(Reiterated in Republic Act No. 10142, the Financial Rehabilitation and Insolvency Act of 2010 [FRIA]).*
Ratio	1. **Purpose of the Stay Order (Pari Passu Principle):** The core principle of corporate rehabilitation is the preservation of the distressed entity as a going concern and the equitable distribution of its assets among all creditors. A Stay Order acts as an automatic freeze on all collection efforts against the debtor to prevent the dismemberment of the company's assets by aggressive individual creditors. 2. **Preference Operates in Liquidation, Not Rehabilitation:** The preference given to workers under Article 110 of the Labor Code and the Civil Code applies in *liquidation* proceedings where the business has ceased and its estate is broken up. In *rehabilitation*, all creditors must stand on equal footing within their approved classes under the Rehabilitation Plan, and no claim can be paid ahead in violation of the judicial stay.
Fallo	**WHEREFORE**, the petition is **GRANTED**. The assailed orders of the Regional Trial Court are **REVERSED and SET ASIDE**, and the enforcement of all claims, including labor and supplier claims, is **STAYED** pending the final outcome of the rehabilitation proceedings. **SO ORDERED.**

c. Prohibition regarding wages
   i. Principle of free disposal of wages
   ii. Wage deduction
   iii. Deposits for Loss or damage
   iv. Deduction to Ensure employment
   v. Retaliatory Measures
   vi. False Reporting

Non-Interference in Disposal of Wages

ART. 112. Non-Interference in Disposal of Wages. - No employer shall limit or otherwise interfere with the freedom of any employee to dispose of his wages. He shall not in any manner force, compel, or oblige his employees to purchase merchandise, commodities or other property from any other person, or otherwise make use of any store or services of such employer or any other person. (P.D. 442, Labor Code)

1) Non-interference Employers are expressly and categorically prohibited from interfering with the right and freedom of the employees to dispose of their wages. The above provision is targeting employers who force or intimidate employees into using their wages to buy something that will benefit the employers, such as purchasing the merchandise, commodities, or other property owned by the employers.

Wage Deduction

The following are the limited exceptions as to when an employer may be authorized or justified in deducting employee wages:

1) Premium for insurance. In cases where the worker is insured with his consent by the employer, and the deduction is to recompense the employer for the amount paid by him as premium on the insurance;

2) Union dues. For union dues, in cases where the right of the worker or his union to check-off has been recognized by the employer or authorized in writing by the individual worker concerned;

3) SSS employee-share Contributions. SSS law and regulations mandate the employer to withhold SSS employee-share contributions from the employee's wages;

4) PhilHealth employee-share Contributions. PhilHealth law and regulations mandate the employer to withhold SSS employee-share contributions from the employee's wages;

5) HDMF/Pag-IBIG employee-share contributions. HDMF/Pag-IBIG law and regulations mandate the employer to withhold SSS employee-share contributions from the employee's wages;

6) ECC employee-share contributions. The Labor Code mandates the employer to withhold Sss employee-share contributions from the employee's wages (NB: ECC contributions are collected and tacked into the SSS contributions.);

7) Applicable Taxes. Tax laws mandate the employer to withhold applicable taxes against the employee's wages;

8) Loan payments. If duly authorized in writing, the employer may apply a portion of the employee's wages to outstanding debts (NB: The employees should still be able to receive sufficient amount after deductions to be able to pay for living expenses.); and 9) As may be prescribed by DOLE Regulations.

Deposits for Loss or Damage

ART. 114. Deposits for Loss or Damage. - No employer shall require his worker to make deposits from which deductions shall be made for the reimbursement of loss of or damage to tools, materials, or equipment supplied by the employer, except when the employer is engaged in such trades, occupations or business where the practice of making deductions or requiring deposits is a recognized one, or is necessary or desirable as determined by the Secretary of Labor and Employment in appropriate rules and regulations. (P.D. 442, Labor Code)

1) Deposits

Employers are prohibited from requiring deposits from which deductions shall be made for loss or damage to tools, materials or equipment supply by the employer.

a) Exception: Authorized by law or DOLE Regulations Article 114 of the Labor Code prohibits an employer from requiting his employees to file a cash bond or to make deposits, subject to certain exceptions. (Dentech Manufacturing Corporation v. Ledesma, G.R. No. 81477, April 19, 1989, Per

Gancayco, J.) Thus, by way of exception, if authorized by law or DOLE Regulation allows it, an employer may be authorized to require deposits if the employer is engaged

2) Loss or damage to employer's equipment
[Article 114] provides the rule on deposits for loss or damage to tools, materials or equipments supplied by the employer. Clearly, the same does not apply to or permit deposits to defray any deficiency which the taxi driver may incur in the remittance of his "boundary." (Five J Taxi v. NLRC, G.R. No. 111474, August 22, 1994, Per Regalado, J.)

3) Limitations
ART. 115. Limitations. - No deduction from the deposits of an employee for the actual amount of the loss or damage shall be made unless the employee has been heard thereon, and his responsibility has been clearly shown. (P.D. 442, Labor Code)
a) Aligns with due process This requirement of hearing first the employee aligns with due process. It is important to hear the side of the employee as there might be a valid cause or reason for the loss or damage, such as a force majeure or fault that is not attributable to the employee.

f. Wage withholding and kickbacks
ART. 116. Withholding of Wages and Kickbacks Prohibited. - It shall be unlawful for any person, directly or indirectly, to withhold any amount from the wages of a worker or induce him to give up any part of his wages by force, stealth, intimidation, threat or by any other means whatsoever without the worker's consent. (P.D. 442, Labor Code) Wage withholding and/or kickbacks is prohibited.
The employees should receive what is owing to them, free from any deduction, regardless of whether the employee has been induced to give up a portion of his pay, whether by force, stealth, intimidation, threat or by any other means whatsoever.
While the provision allows wage withholding if there is consent on the worker, this should be strictly interpreted as to mean that the consent is freely, willingly, and voluntarily given. Any color of bad faith on the part of the employer will render such consent invalid.

Deduction to Ensure Employment
ART. 117. Deduction to Ensure Employment. - It shall be unlawful to make any deduction from the wages of any employee for the benefit of the employer or his representative or intermediary as consideration of a promise of employment or retention in employment. (P.D. 442, Labor Code)
Employers or its representatives or intermediaries, are prohibited from deducting the wages of the employees in consideration of a promise of employment or retention in employment.

Retaliatory Measures
ART. 118. Retaliatory Measures. - It shall be unlawful for an employer to refuse to pay or reduce the wages and benefits, discharge or in any manner discriminate against any employee who has filed any complaint or instituted any proceeding under this Title or has testified or is about to testify in such proceedings. (P.D. 442, Labor Code)
If an employee has filed a labor complaint or has testified or is about to testify in such proceedings, employers are prohibited from retaliating, such as by refusing or reducing wages and benefits, discharging or terminating employment, or in any manner discriminate against the concerned employees.

False Reporting
ART. 119. False Reporting. - It shall be unlawful for any person to make any statement, report, or record filed or kept pursuant to the provisions of this Code knowing such statement, report or record to be false in any material respect. (P.D. 442, Labor Code)

False reporting is prohibited.
Per DOLE Labor Advisory No. 4, Series of 2023, all private establishments are required to submit an annua establishment report covering employees who are below managerial level, including learners, apprentices, and disabled/handicapped workers.

NB: While Article 119 of the Labor Code is found under Title II on Wages, this prohibition may also apply to other reports not necessarily connected to wages.

Coca Cola
It is a familiar and fundamental doctrine in labor law that the CBA is the law between the parties and they are obliged to comply with its provisions.[14] As in all contracts, the parties in a CBA may establish such stipulations, clauses, terms and conditions as they may deem convenient provided these are not contrary to law, morals, good customs, public order, or public policy. Thus, where the CBA is clear and unambiguous, it becomes the law between the parties and compliance therewith is mandated by the express policy of the law

Art. 112. Non-interference in disposal of wages. No employer shall limit or otherwise interfere with the freedom of any employee to dispose of his wages. He shall not in any manner force, compel, or oblige his employees to purchase merchandise, commodities or other property from any other person, or otherwise make use of any store or services of such employer or any other person.

With the implementation of the company policy, an employee, who is qualified to avail an SSS salary loan and chooses to dispose of his salary through payment of monthly amortizations, may not be able to do so should such amortizations be over the 50% cap. In carrying out the 50% cap policy, petitioner effectively limits its employees on the utilization of their salaries when it is apparent that as long as the employee is qualified to avail the same, he/she may apply for an SSS loan.

The demands of each household varies; and the management of each household differs. Whether it is beneficial for an employee to retain sufficient money to supply the needs of his family at the end of each month is immaterial. The needs of one's family is relative; one household may find comfort in taking loans to meet urgent needs. Petitioner's contention that an employee's dependency on indebtedness will affect his productivity is at best speculative.

To further advance its argument, petitioner cited a letter[19] from the SSS which answered its inquiry regarding its right to disapprove loans to comply with company policy, to wit:

A salary loan is not a benefit but only a privilege granted by the Social Security System to its covered employees. However, member/borrower who is currently employed should secure a consent from his/her respective employer before he can apply for SSS Salary loan, the employer being a co-maker. Further, the employer or his authorized representative and the member affix their signature that they agree to the terms and conditions of the loan as enumerated at the back of the salary loan application. And one of the conditions is, the employer shall be responsible for the collection and remittance to the SSS [of] the amortization due from the member/employee.

Considering the foregoing, the implementation of the company policy is not a valid exercise of management prerogative, which must be exercised in good faith and with due regard to the rights of labor. Its violation of a provision in the CBA demerits the presence of good faith.

In the absence of an SSS rule or regulation which limits the qualification of employees to

obtain a loan, petitioner has the obligation to process the same so as to comply with the provisions of the CBA.

Cases:

1. *Royal Plant Workers Union v. Coca-Cola Bottlers Phils. – Cebu Plant, G.R. No. 198783, April 15, 2013*
2. *ABS-CBN Supervisors Employees Union v. ABS-CBN Broadcasting Corporation, 304 SCRA 489*
3. *PLDT v. Estranero, G.R No. 192518, October 15, 2014*
4. *Coca-Cola Bottlers Philippines Inc. (CCBPI) v. CCBPI Sta. Rosa Plant Employees Union, G.R. No. 197494, March 25, 2019*

Case	ABS-CBN Supervisors Employees Union v. ABS-CBN Broadcasting Corporation, Union Officers, and Members G.R.No. 106518, March 11, 1999 (304 SCRA 489) Second Division, Buena, *J.*
Facts	The ABS-CBN Supervisors Employees Union concluded a Collective Bargaining Agreement (CBA) with ABS-CBN Broadcasting Corporation. The CBA contained a clause providing for a 10% check-off from the wage increases and backpay awarded to supervisory employees as a "negotiation fee" / union assessment, payable to the union's negotiating panel. Several union members challenged the deduction, arguing that the union failed to secure individual written check-off authorizations signed by each affected employee as required by Article 241(o) [now Article 250(o)] and Article 113 of the Labor Code. The Med-Arbiter and DOLE Secretary ruled that the 10% assessment could not be legally deducted from the employees' salaries without their individual written consents. The Union petitioned the Supreme Court, asserting that the general ratification of the CBA by the majority of the general membership cured the absence of individual check-off authorizations.
Issue	Whether the employer may deduct union negotiation assessments or special fees from an employee's wage without individual written check-off authorizations signed by the employee.
Held	**The deduction is illegal; an employer cannot make wage deductions for special union assessments without individual, signed, written check-off authorizations.** ***Verbatim Legal Basis:*** **Article 113, Labor Code of the Philippines:** *"Art. 113. Wage deduction. — No employer, in his own behalf or in behalf of any person, shall make any deduction from the wages of his employees, except:* *(a) In cases where the worker is insured with his consent by the employer, and the deduction is to recompense the employer for the amount paid or to be paid by him as premium on the insurance;* *(b) For union dues, in cases where the right of the worker or his union to check-off has been recognized by the employer or authorized in writing by the individual worker concerned; and* *(c) In cases where the employer is authorized by law or regulations issued by the Secretary of Labor*

	and Employment." **Article 241(o) [now Article 250(o)], Labor Code of the Philippines:** *"No special assessment or other extraordinary fees may be levied upon the members of a labor organization unless authorized by a written resolution of a majority of all the members at a general membership meeting duly called for the purpose... Other than for mandatory activities under the Code, no special assessments, attorney's fees, negotiation fees or any other extraordinary fees may be checked off from any amount due to an employee without an individual written authorization duly signed by the employee. The authorization should specifically state the amount, purpose and beneficiary of the deduction."*
Ratio	1. **Protection of Worker's Wages:** Wages are the primary means of subsistence for workers and are protected against unauthorized deductions. The law explicitly distinguishes regular union dues from special assessments, attorney's fees, and negotiation fees. 2. **Dual Mandatory Requirements:** For special assessments or negotiation fees to be lawfully checked off, the law requires: (1) a general resolution approved by the majority of the membership in a meeting called for that purpose; and (2) a specific, individual written authorization signed by each worker affected. A majority ratification of the CBA does not substitute for the mandatory individual written authorizations.
Fallo	**WHEREFORE**, the petition is hereby **DISMISSED**, and the Order of the Secretary of Labor and Employment dated May 14, 1992 is **AFFIRMED**. **SO ORDERED.**

Case	Philippine Long Distance Telephone Company v. Henry Estranero G.R. No. 192518, October 15, 2014
Facts	Henry Estranero was employed by PLDT. In 1995, PLDT offered a Manpower Reduction Program (MRP), a voluntary redundancy/separation package. Estranero applied and was approved for separation with an entitlement to P267,028.37 in separation benefits. However, when he received his final pay slip, PLDT withheld his entire separation pay and turned over nothing to him, offsetting his benefit against an outstanding loan of P160,888.88 he had incurred with the PLDT Employees Credit Cooperative (a separate cooperative) and other company receivables. Estranero filed a complaint against PLDT for the payment of his separation pay. PLDT claimed legal compensation under Article 1278 of the Civil Code, arguing it had the right to offset the loans since it stood as guarantor or collection agent for the cooperative.
Issue	Whether an employer may unilaterally withhold and deduct an employee's separation pay to settle third-party loan obligations incurred with a credit cooperative.
Held	**The deduction is illegal; an employer cannot unilaterally withhold or offset separation pay against loans owed to a third-party credit cooperative.** ***Verbatim Legal Basis:*** **Article 113, Labor Code of the Philippines:**

	"Art. 113. Wage deduction. — No employer, in his own behalf or in behalf of any person, shall make any deduction from the wages of his employees, except: *(a) In cases where the worker is insured with his consent by the employer...* *(b) For union dues, in cases where the right of the worker or his union to check-off has been recognized...* *(c) In cases where the employer is authorized by law or regulations issued by the Secretary of Labor and Employment."* **Article 116, Labor Code of the Philippines:** *"Art. 116. Withholding of wages and kickbacks prohibited. — It shall be unlawful for any person, directly or indirectly, to withhold any amount from the wages of a worker or induce him to give up any part of the wages by force, stealth, intimidation, threat or by any other means whatsoever without the worker's consent."*
Ratio	1. **Separation Pay Treated as Wage:** For the purposes of statutory protections against unauthorized withholding, separation pay—being monetary remuneration due by reason of employment—is covered by the strict prohibitions of Articles 113 and 116 of the Labor Code. 2. **Inapplicability of Legal Compensation:** Legal compensation under Article 1278 of the Civil Code requires that the parties be principal creditors and debtors of each other. The loan was contracted between Estranero and the cooperative, a separate juridical entity. PLDT was not the creditor. In the absence of a written authorization or an express provision of law, PLDT had no authority to act as a collection agent by unilaterally deducting the cooperative debt from the employee's terminal pay.
Fallo	**WHEREFORE**, the petition is **DENIED**. The Court of Appeals Decision dated January 20, 2010 in CA-G.R. SP No. 104587 is **AFFIRMED with MODIFICATION**. Petitioner PLDT is **ORDERED to PAY** respondent Henry Estranero the full amount of his separation pay of P267,028.37, plus legal interest of six percent (6%) per annum from the date of finality of this Decision until full payment. **SO ORDERED.**

Case	Coca-Cola Bottlers Philippines, Inc. v. CCBPI Sta. Rosa Plant Employees Union G.R.No. 197494, March 25, 2019
Facts	Under the CBA between CCBPI and the Union, employees were allowed to avail of personal loans, with loan repayments amortized via payroll deductions. In 2010, CCBPI issued a Memorandum Policy limiting loan availments: it prohibited employees from acquiring further company or cooperative loans if their net take-home pay after all deductions would fall below 50% of their monthly basic wage. The Union filed a grievance, arguing that the 50% net pay floor curtailed their right to borrow, diminished a long-standing company practice, and violated the CBA and the principle of free disposal of wages. The Voluntary Arbitrator declared the policy void, and the CA sustained that ruling.
Issue	Whether an employer's company policy imposing a 50% net take-home pay floor on loan check-offs violates the principle of free disposal of wages or the rule on non-diminution of benefits.
Held	**The policy is a VALID exercise of management prerogative designed to safeguard employee welfare and comply with statutory policies on wages.** ***Verbatim Legal Basis:***

	Article 112, Labor Code of the Philippines: *"Art. 112. Non-interference in disposal of wages. — No employer shall limit or otherwise interfere with the freedom of any employee to dispose of his wages. He shall not in any manner force, compel, or oblige his employees to purchase merchandise or commodities from any other person, or to make use of any store or services of such employer or any other person."*
Ratio	1. **Management Prerogative and Subsistence Protection:** The right to establish rules and policies regarding the facilitation of voluntary loan deductions is part of management prerogative. Requiring a 50% net take-home pay floor does not dictate *how* the worker spends his salary; rather, it ensures that the worker actually receives take-home cash to sustain himself and his family, preventing destructive cycles of debt. 2. **Non-Diminution Inapplicable:** The loan facility itself was not removed; only a prudential threshold was imposed to regulate voluntary salary check-offs. Check-off is not an absolute right of the employee, but a processing convenience. Since the employer is prohibited under Article 113 from making unauthorized deductions, regulating voluntary check-off thresholds to preserve take-home pay is fully compliant with labor policy.
Fallo	**WHEREFORE**, the petition is **GRANTED**. The March 17, 2011 Decision and June 27, 2011 Resolution of the Court of Appeals in CA-G.R. SP No. 115206 are **REVERSED and SET ASIDE**. The 50% net take-home pay policy of petitioner Coca-Cola Bottlers Philippines, Inc. is declared **VALID and LAWFUL**. **SO ORDERED.**

d. Wage Studies, Wage Agreements, and Wage Determination

vii. National Wages and Productivity Commission
- Composition
- Powers and Functions
- Creation of Regional Tripartite Wages and Productivity Boards; Powers and Functions
- Wage Order
- Standards/Criteria for Minimum Wage

viii. Wage Distortion
ix. Freedom to Bargain
x. Prohibition Against Injunction
xi. Non-diminution of benefits

Cases:

1. *Philippine Geothermal, Inc. Employees Union v. Chevron Geothermal Phils Holdings, Inc., G.R. No. 207252, January 24, 2018*

Case	Philippine Geothermal, Inc. Employees Union v. Chevron Geothermal Phils. Holdings, Inc. G.R. No. 207252, January 24, 2018
Facts	The Union and Chevron executed a CBA containing a stipulation for annual wage increases. A union member, payroll clerk Asterio Remolona, discovered an anomaly: despite having superior seniority and grade levels, his salary was lower than that of some newly regularized or transferred co-employees due to retroactive equity adjustments and initial hiring rates. The Union filed a grievance claiming wage distortion under Article 124

	of the Labor Code, demanding an upward across-the-board adjustment of all salaries in the bargaining unit. When the grievance machinery failed, the issue was submitted to voluntary arbitration. The Voluntary Arbitrator dismissed the claim, and the CA affirmed, finding that no wage distortion existed.
Issue	Whether an internal salary disparity between senior employees and newly hired or reassigned co-employees within the same salary structure constitutes a legally actionable "wage distortion" under Article 124 of the Labor Code.
Held	**The disparity does NOT constitute a statutory wage distortion under Article 124 of the Labor Code.** ***Verbatim Legal Basis:*** **Article 124, Labor Code of the Philippines:** *"Art. 124. Standards/Criteria for minimum wage fixing. — ... As used herein, a wage distortion shall mean a situation where an increase in prescribed wage rates results in the elimination or severe contraction of intentional quantitative differences in wage or salary rates between and among employee groups in an establishment as to effectively obliterate the distinctions embodied in such wage structure based on skills, length of service, or other logical bases of differentiation."*
Ratio	1. **Four Elements of Statutory Wage Distortion:** For a wage distortion to exist under Article 124, the following elements must concur: (a) an existing hierarchy of positions with corresponding salary rates; (b) a significant change in the salary rate of a lower pay class without a corresponding increase in a higher class; (c) the elimination or severe contraction of the wage gap between the two classes; and (d) the change must be triggered by an *increase in prescribed wage rates* (i.e., by mandate of a statutory wage order or law). 2. **Cause of Distortion Must Be a Mandated Minimum Wage Increase:** Disparities arising from management hiring decisions, individual merit increases, negotiated adjustments, or internal transfers are not the wage distortions contemplated by Article 124. Statutory wage distortion is created exclusively when an external government wage increase compresses or obliterates preexisting, intentional job hierarchy pay gaps.
Fallo	**WHEREFORE**, the petition is **DENIED**. The Decision dated October 29, 2012 and Resolution dated May 13, 2013 of the Court of Appeals in CA-G.R. SP No. 116246 are **AFFIRMED**. **SO ORDERED.**

2. *Home Credit Mutual Building and Loan Association v. Ma. Rollette Prudente, Gr No. 200010 August 27, 2020*

Case	Home Credit Mutual Building and Loan Association v. Ma. Rollette Prudente G.R.

	No. 200010, August 27, 2020
Facts	Ma. Rollette Prudente was hired by Home Credit as a credit collection specialist. Under her employment contract and long-standing company policy, she was assigned a company vehicle and received a monthly transportation/fuel allowance to facilitate field visits. In 2008, the company issued a new memo requiring employees using service vehicles to surrender their cars to the motor pool every evening and during weekends, and reduced their fuel allowance, requiring detailed itemized receipts for travel reimbursement instead of the fixed monthly allowance. Prudente refused to surrender the vehicle and challenged the policy, claiming that the unrestricted use of the vehicle and the unconditional fuel allowance were vested benefits that could not be eliminated or diminished under Article 100 of the Labor Code. She subsequently filed an illegal constructive dismissal and diminution of benefits case.
Issue	Whether the modification of the company vehicle usage rules and conversion of the transportation allowance into an accountable reimbursement scheme violate the non-diminution rule under Article 100 of the Labor Code.
Held	**The changes do NOT violate the rule on non-diminution of benefits; the transportation allowance and vehicle were operational facilities/supplements, not part of basic wages.** ***Verbatim Legal Basis:*** **Article 97(f), Labor Code of the Philippines:** *"Art. 97. Definitions. — ... (f) 'Wage' paid to any employee shall mean the remuneration or earnings, however designated, capable of being expressed in terms of money, whether fixed or ascertained on a time, task, piece, or commission basis, or other method of calculating the same, which is payable by an employer to an employee under a written or unwritten contract of employment for work done or to be done, or for services rendered or to be rendered..."* **Article 100, Labor Code of the Philippines:** *"Art. 100. Prohibition against elimination or diminution of benefits. — Nothing in this Book shall be construed to eliminate or in any way diminish supplements, or other employee benefits being enjoyed at the time of promulgation of this Code."*
Ratio	1. Distinction Between Wages and Supplements/Facilities: "Wages" form part of the regular consideration for services rendered, whereas "facilities" or "supplements" are conveniences or operational amenities granted for the benefit of the employer or to enable the employee to perform work efficiently. A company car and fuel allowance given to collection agents are working tools/facilities designed to achieve company tasks, not personal wage supplements. 2. Management Prerogative to Regulate Working Tools: An employer has the inherent prerogative to regulate, monitor, and safeguard company-owned property. Regulating the overnight parking of company vehicles and shifting to a receipt-based reimbursement system are reasonable operational controls to curb fuel wastage and do not constitute an

	illegal diminution of basic earnings.
Fallo	WHEREFORE, the petition is GRANTED. The Decision of the Court of Appeals dated August 31, 2011 in CA-G.R. SP No. 111893 is REVERSED and SET ASIDE, and the complaint is DISMISSED.

3. *Solicito Torcuator v. Commission on Audit, G.R. No, 210631, March 12, 2019*

Case	
Facts	
Issue	
Held	
Ratio	
Fallo	

4. *Manuel B. Pablico and Master's Pab Resto Bar v. Numeriano B. Cerro, Jr., et al., G.R. No. 227200, June 10, 2019*

Case	Manuel B. Pablico and Master's Pab Resto Bar v. Numeriano B. Cerro, Jr., et al. G.R. No. 227200, June 10, 2019
Facts	Respondents were employees of Master's Pab Resto Bar, owned by Manuel Pablico. Claiming that they were being paid daily wages below the prevailing minimum wage prescribed by the Regional Tripartite Wages and Productivity Board (RTWPB) Region II and were denied holiday pay, SIL, and overtime pay, respondents filed a complaint before the Labor Arbiter. Pablico defended by asserting that Master's Pab Resto Bar was a Barangay Micro Business Enterprise (BMBE) and a small retail/service establishment regularly employing less than ten (10) workers, exempting it from the coverage of the Minimum Wage Law. However, Pablico failed to present any BMBE Certificate of Authority issued by the DTI/DOLE or concrete registered employment records verifying that the workforce was consistently below ten employees throughout the period of claim. The Labor Arbiter, NLRC, and CA all found Pablico liable for wage differentials.
Issue	Whether petitioner's establishment is exempt from the statutory minimum wage rates and labor standards under the small-enterprise / BMBE exemption rules.
Held	**Petitioner is NOT exempt from the Minimum Wage Law and is liable for statutory wage differentials and other monetary benefits.** ***Verbatim Legal Basis:*** **Section 8, Republic Act No. 9178 (Barangay Micro Business Enterprises Act of 2002):**

	"Sec. 8. Exemption from the Coverage of the Minimum Wage Law. — The BMBEs shall be exempt from the coverage of the Minimum Wage Law: Provided, That all employees covered under this Act shall be entitled to the same benefits given to any regular employee such as social security and healthcare benefits." **Article 99, Labor Code of the Philippines:** *"Art. 99. Regional minimum wages. — The minimum wage rates for agricultural and non-agricultural workers and employees in each region shall be those prescribed by the Regional Tripartite Wages and Productivity Boards."*
Ratio	1. **Strict Construction of Statutory Wage Exemptions:** Exemption from the minimum wage law is an exception to social justice legislation and must be strictly construed against the enterprise claiming it. To claim exemption under the BMBE Act (R.A. No. 9178), the establishment must possess a valid, subsisting Certificate of Authority issued by the proper agency. Bare allegations of being a micro-business do not suffice. 2. **Burden to Prove Exemption:** An employer who pleads an exemption (e.g., employing fewer than 10 workers) bears the legal burden of proving the exempting status through payrolls, DTI certificates, and official rosters. Having failed to submit competent proof, the employer is bound to pay the full minimum statutory wages and labor standard benefits mandated by the regional wage orders.
Fallo	WHEREFORE, the petition is DENIED. The Decision dated April 29, 2016 and Resolution dated September 19, 2016 of the Court of Appeals in CA-G.R. SP No. 140417 are AFFIRMED with the modification that the total monetary award shall earn legal interest of six percent (6%) per annum from the date of finality of this Decision until full payment.

e. Visitorial, Enforcement, and Adjudicatory Power of the DOLE

i. Visitorial and Enforcement Power
ii. Recovery of Wages, Simple Claims and Other Benefits
iii. Department Order No. 238, Series of 2023

- The Secretary of the Department of Labor and Employment (DOLE Secretary) has jurisdiction over certain cases.
- The DOLE Secretary has visitorial and enforcement powers.

DOLE Secretary's Jurisdiction

a. Original jurisdiction

1) Assumption of jurisdiction

When, in his opinion, there exists a labor dispute causing or likely to cause a strike or lockout in an industry indispensable to the national interest, the DOLE Secretary may assume jurisdiction over the dispute and decide it or certify the same to the NLRC for compulsory arbitration. (Article 278 [263] (g), Labor Code)

Such assumption or certification shall have the effect of automatically enjoining the intended or

impending strike or lockout as specified in the assumption or certification order. If one has already taken place at the time of assumption or certification, all striking or locked out employees shall immediately return to work and the employer shall immediately resume operations and readmit all workers under the same terms and conditions prevailing before the strike or lockout.

The DOLE Secretary or the NLRC may seek the assistance of law enforcement agencies to ensure compliance with this provision as well as with such orders as he may issue to enforce the same.

b. Appellate Jurisdiction

1) Labor standards cases, including occupational safety and health standards, from the decision of the DOLE Regional Director (Article 128, lbid.);
2) Orders of the DOLE Regional Director (Section 1, Rule IV, Rules on the Disposition of Labor Standards Cases in the Regional Offices);
3) Union registration or cancellation cases, from the decision of the Bureau of Labor Relations; and,
4) Certification election cases from decision of the Med-Arbiter.

3. Visitorial and enforcement powers

a. Visitorial and enforcement powers

1) To access to employer's records and premises at any time of the day or night whenever work is being undertaken therein;
2) To copy therefrom;
3) To question any employee;
4) To investigate any fact, condition or matter which may be necessary to determine violations or which may aid in the enforcement of this Code and of any labor law, wage order or rules and regulations issued pursuant thereto;
5) To issue compliance orders to give effect to the labor standards provisions of this Code and other labor legislation based on the findings of labor employment and enforcement officers or industrial safety engineers made in the course of inspection: Provided, employer-employee relationship still exists;
6) To issue writs of execution to the appropriate authority for the enforcement of their orders, except in cases where the employer contests the findings of the labor employment and enforcement officer and raises issues supported by documentary proofs which were not considered in the course of inspection;
7) To order stoppage of work or suspension of operations of any unit or department of an establishment when non-compliance with the law or implementing rules and regulations poses grave and imminent danger to the health and safety of workers in the workplace;
8) To inquire into the financial activities of legitimate labor organizations upon the filing of a complaint under oath and duly supported by the written consent of at least twenty percent (20%) of the total membership of the labor organization concerned and to examine their books of accounts and other records to determine compliance or non-compliance with the law and to prosecute any violations of the law and the union constitution and by-laws: Provided, That such inquiry or examination shall not be conducted during the sixty (60)-day freedom period nor within the thirty (30) days immediately preceding the date of election of union officials; and,
9) To require employers to keep and maintain such employment records as may be necessary in aid of his visitorial and enforcement powers under this Code, by appropriate regulations.

Department Order No. 238, Series of 2023

- RULES ON THE ADMINISTRATION AND ENFORCEMENT OF LABOR STANDARDS PURSUANT TO ARTICLE 128 OF THE LABOR CODE OF THE

PHILIPPINES, AS RENUMBERED, AND REPUBLIC ACT NO. 11058

- Section 4. Employment Records. - All employers shall keep and maintain employment records in and about the premises of all workplaces for at least three (3) years. Should the employer maintain a centralized recording system, it shall provide access or produce a hard copy to the labor inspector.
- During the inspection, the employer shall present employment records such as: employment contracts, daily time records, payrolls, proof of payment of 13th month pay, service incentive leave pay, and other labor standards and social legislations, registration of establishment, certificates of safety officer and first-aider, policies on anti-sexual harassment, HIV/AIDS, tuberculosis, and hepatitis, and such other compliance required under the occupational safety and health standards and Republic Act No. 11058.
- All employers shall ensure compliance with women-related laws, rules, and regulations.
- Section 5. Special Inspection Team. - The Secretary of Labor and Employment may organize a Special Inspection Team composed of a group of labor inspectors (Lis) and/or assistant labor inspectors (ALis) from the regional offices to collaborate, as may be necessary, with other government agencies exercising regulatory or enforcement functions to conduct inspections.
- Section 6. Participation of Labor, Employer, and Other Organizations. - Qualified representatives of legitimate labor organizations, legitimate workers' associations, chartered locals, national unions, or federations, accredited integrated professional organizations, non-government organizations, and employer organizations may be authorized to participate in the conduct of inspection of establishments subject to the guidelines issued by the Secretary of Labor and Employment.

RULE VI - PROCEDURES FOR THE CONDUCT OF TOSH INVESTIGATION ORY VISIT

- Section 1. OSH Investigation Procedures

The following shall be observed in the conduct of the OSH investigation:

  - a. Authority to Investigate indicating the date and venue of the technical and advisory visit, including access credentials to the learning management system., may request the conduct of TAV.
  - b. Investigation. The LI, in coordination with the designated safety officer of the employer, shall investigate the existence of disabling injury, imminent danger, or dangerous occurrence. The LI shall direct the employer to implement corrective actions to immediately abate imminent danger or temporary measures to prevent further disabling injury or dangerous oyment occurrence should it exist during the inspection. The LI shall also check the compliance of the employer with other occupational safety and health standards.
  - c. Notice of Investigation Results. The remaining deficiencies of the micro establishment shall be resolved under Ru
  - d. Work Stoppage Order. The Secretary of Labor and Employment or the duly authorized representative may immediately order stoppage of work or suspension of operation of any unit or department of an establishment when the imminent danger cannot be abated during the investigation, or non compliance with occupational safety and health standards poses grave and imminent danger to the health and safety of the workers in the workplace or has resulted in a dangerous occurrence.
  - e. Hearing and Lifting of Work Stoppage Order. The Regional Director shall conduct a hearing within twenty-four (24) hours from the issuance of the Work Stoppage Order to determine the cause and abatement measures of

the imminent danger.

RULE VII - REFUSAL OF ACCESS

- Section 1. Effect of Refusal. - Refusal of access to records, work premises, or employees during the conduct of inspection or investigation shall result in the filing of a criminal action against the employer or responsible officers of the establishment.
- Section 2. Procedure in case of Refusal of Access. - The LI shall issue to the employer a notice for the conduct of subsequent inspection or investigation if denied access to records, workers, or work premises on the first attempt.
- If denied access on the second attempt, the LI shall issue a Notice of Inspection Results or Notice of Investigation Results requiring the employer to attend a conference and explain the refusal of access. The LI shall report such facts in writing to the Regional Director within three (3) days from the issuance thereof.
- The Regional Director shall issue a Notice of Conference to the employer and employees, if known, within five (5) days from the issuance of the Notice of Results. The matter shall proceed in accordance with Rule VIII of these rules.

RULE VIII - PROCEDURE FOR THE DISPOSITION OF CASES

- Section 1. Notice of Mandatory Conference.
- Section 2. Mandatory Conference. - The Hearing Officer shall conduct the first mandatory conference within ten (10) days from the issuance of notice of mandatory conference. The conference proceeding shall be terminated within thirty (30) days from the first date of the scheduled conference.
- No postponement of the mandatory conference may be allowed except on meritorious grounds. Any party who fails or refuses to appear during the mandatory conference despite due notice and without justifiable reason shall be considered to have waived the right to controvert the findings of the LI. · Section 3. Compliance Order.
- Section 4. Motion for Reconsideration. - The aggrieved party may file a Motion for Reconsideration from the Compliance Order of the Regional Director within ten (10) days from receipt thereof, copy furnished the other party.
- The Reply of the other party shall be submitted within ten (10) days from receipt of the Motion for Reconsideration.
- The Regional Director shall issue a Resolution on the Motion for Reconsideration within ten (10) days from receipt of the Reply or lapse thereof.
- No second Motion for Reconsideration shall be allowed.

Case:

a. *Del Monte Land Transport Bus, Co. v. Armenta, GR No. 240144, 03 February 2021*

Case	Del Monte Land Transport Bus, Co. v. Gener Armenta G.R. No. 240144, February 03, 2021
Facts	Following a routine inspection conducted by DOLE Regional Office No. IV-A pursuant to Article 128 of the Labor Code, Del Monte Land Transport Bus, Co. was found to have committed labor standards violations, including underpayment of wages, 13th-month pay, and non-remittance of SSS/PhilHealth contributions with respect to several bus employees, including Gener Armenta. The DOLE Regional Director issued a Compliance Order directing Del Monte to pay the computed monetary deficiencies. Del Monte failed to appeal the Compliance Order to the Secretary of Labor within ten days, rendering it final and executory. Subsequently, Armenta filed a separate complaint before the Labor Arbiter to enforce the monetary award and claim illegal constructive dismissal. Del Monte argued that the Labor Arbiter lacked jurisdiction because the dispute had already been adjudicated by the DOLE Regional Director.

Issue	Whether the visitorial and enforcement power of the DOLE Secretary (and Regional Directors) under Article 128(b) of the Labor Code is separate from and concurrent with the jurisdiction of the Labor Arbiter under Article 217 [now 224], and whether a final Compliance Order bars re-litigation of the same monetary claims.
Held	**The DOLE Regional Director has plenary visitorial and enforcement jurisdiction under Article 128(b) to issue compliance orders, which become final and executory if not appealed, barring the re-litigation of the same monetary claims under the principle of res judicata.** ***Verbatim Legal Basis:*** **Article 128(b), Labor Code of the Philippines:** *"Art. 128. Visitorial and enforcement power. — ... (b) Notwithstanding the provisions of Articles 129 and 217 of this Code to the contrary, and in cases where the relationship of employer-employee still exists, the Secretary of Labor and Employment or his duly authorized representatives shall have the power to issue compliance orders to give effect to the labor standards provisions of this Code and other labor legislation based on the findings of labor employment and enforcement officers or industrial safety engineers made in the course of inspection."*
Ratio	1. **Scope of Article 128 Visitorial Power:** Article 128(b) confers on the DOLE Secretary and Regional Directors the power to inspect establishments and issue enforceable compliance orders, regardless of the monetary amount claimed, provided the employer-employee relationship still exists. This power is not restricted by the jurisdictional monetary ceiling of Article 129 or the original jurisdiction of Labor Arbiters under Article 217. 2. **Finality and Res Judicata:** When an employer fails to appeal a Compliance Order issued under Article 128 to the Secretary of Labor within the mandatory 10-day period, the order attains finality. The monetary awards adjudicated therein cannot be relitigated before the Labor Arbiter, as quasi-judicial determinations of the DOLE Regional Director are conclusive and binding.
Fallo	WHEREFORE, the petition is PARTLY GRANTED. The Decision of the Court of Appeals is AFFIRMED with MODIFICATION. The Compliance Order issued by the DOLE Regional Director having become final and executory, the monetary awards determined therein are upheld, and petitioner Del Monte Land Transport Bus, Co. is ordered to pay respondent the amounts adjudged, plus legal interest of six percent (6%) per annum from finality until fully satisfied.

Member
- ASEAN University Network – Quality Assurance (AUN-QA)
- Association of Southeast Asian Institutions of Higher Learning (ASAIHL)
- Association of Southeast and East Asian Catholic Colleges and Universities (ASEACCU)
- Catholic Educational Association of the Philippines (CEAP)
- International Federation of Catholic Universities (IFCU)
- Philippine Accrediting Association of Schools, Colleges and Universities (PAASCU)

b. Manggagawa sa Komunikasyon ng Pilipinas vs PLDT, Inc., GR Nos. 244695, 244752, 245294, February 14, 2024

Case	Manggagawa sa Komunikasyon ng Pilipinas v. Philippine Long Distance Telephone Company, Inc.G.R. Nos. 244695, 244752 & 245294, February 14, 2024
Facts	The DOLE Secretary conducted special labor inspections of PLDT and its numerous service contractors under Article 128 of the Labor Code. The Secretary issued a comprehensive Compliance Order finding that several contracting agencies were engaged in prohibited "labor-only contracting" under Article 106, as they performed core telecommunications functions (such as cable installation, splicing, and technical repair) without substantial capital or equipment, and under PLDT's direct supervision. The DOLE Secretary declared thousands of contractor personnel to be regular employees of PLDT and held PLDT solidarily liable with the contractors for unpaid statutory wage differentials and benefits. PLDT elevated the case to the Court of Appeals via Rule 65, and the CA partially set aside the order, distinguishing between core technical services (labor-only contracting) and auxiliary non-core services (valid job contracting). Both the Union and PLDT appealed to the Supreme Court.

Issue	Whether the Secretary of Labor has the authority under the visitorial and enforcement powers of Article 128(b) to declare the existence of an employer-employee relationship and order the regularization of contracted workers.
Held	**The Secretary of Labor has the authority under Article 128(b) to make a determination of the existence of an employer-employee relationship for the purpose of enforcing labor standards, including the prohibition against labor-only contracting.** ***Verbatim Legal Basis:*** **Article 128(b), Labor Code of the Philippines:** *"Art. 128. Visitorial and enforcement power. — ... (b) Notwithstanding the provisions of Articles 129 and 217 of this Code to the contrary, and in cases where the relationship of employer-employee still exists, the Secretary of Labor and Employment or his duly authorized representatives shall have the power to issue compliance orders to give effect to the labor standards provisions of this Code and other labor legislation based on the findings of labor employment and enforcement officers or industrial safety engineers made in the course of inspection."* **Article 106, Labor Code of the Philippines:** *"Art. 106. Contractor or subcontractor. — ... There is 'labor-only contracting' where the person supplying workers to an employer does not have substantial capital or investment in the form of tools, equipment, machineries, work premises, among others, and the workers recruited and placed by such person are performing activities which are directly related to the principal business of such employer. In such cases, the person or intermediary shall be considered merely as an agent of the employer who shall be responsible to the workers in the same manner and extent as if the latter were directly employed by him."*
Ratio	1. Visitorial Determination of Employment Relations (People's Broadcasting doctrine applied): The DOLE Secretary's visitorial and enforcement power under Article 128(b) necessarily includes the power to make findings on whether an employer-employee relationship exists. When labor inspectors discover illicit labor-only contracting arrangements on-site, the Secretary is not stripped of jurisdiction merely because the principal employer denies the employment relationship; to hold otherwise would enable any employer to defeat DOLE inspection powers by simple denial. 2. Standards for Contracting Out: The determination of whether contracting is legitimate or prohibited labor-only contracting depends on: (a) whether the contractor possesses substantial capital or investment; and (b) whether the workers perform activities directly related to the principal business of the employer under the latter's right of control. Those performing core installations and maintenance are deemed regular employees of the principal, whereas those performing distinct specialized auxiliary tasks (e.g., security, messengerial, janitorial) remain employees of independent contractors.
Fallo	WHEREFORE, the Petitions for Review on Certiorari are PARTIALLY GRANTED. The Decision and Resolution of the Court of Appeals are AFFIRMED with MODIFICATION. The Compliance Order of the Secretary of Labor and Employment is reinstated insofar as it declared the workers performing core installation, repair, and maintenance functions as regular employees of PLDT, with PLDT being held solidarily liable with the respective contractors for all accrued labor standard monetary awards.